688825.SH - CXMT / 长鑫科技 | Full investment artifact

Full investment research | Model assumptions and source evidence

Owner valuation instruction - historical event, 15 October 2026

Tom approved **6x in Q3 and Q4 2026, 7x in Q1 2027, 8x in Q2 2027 and 9x from Q3 2027 onward**. Each multiple applies to the ceiling quarter plus its next three operating quarters. That valuation instruction changed no operating inputs at the time. The separate preliminary earnings update below now revises operating inputs and keeps this schedule.

The current quarterly ceilings appear in section 9. Historical targets from the valuation instruction remain in the recoverable prior artifact and the model's owner-event record.

Research date: 18 October 2026 | **Framework:** 8.0 | **Format:** standalone current-state analysis

Status: Full Framework 8.0 quarterly artifact; preliminary nine-month earnings incorporated with an explicit core-profit proxy; G5 cost branch retained | **Classification:** STRATEGIC DRAM PRODUCER - cyclical qualified capacity

Artifact Base: 40/60 = **67% - Watchlist** | **Portfolio Excel Base:** 67% (October7 override removal reflected; advisory score remains separate)

Snapshot: supplied-workbook price CNY 52; model share proxy 67,884M; implied snapshot market capitalization 3,563 CNY billions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator.

Active ceiling: Q4 2027 **CNY 38**, pricing Q4 2027 through Q3 2028. The exact ceiling declines by less than 1% from the saved prior model. The nearer Q4 2026 ceiling declines about 4% to **CNY 26**; Q3 2026 declines about 5% to **CNY 24**. The period, currency, multiple and share basis are comparable.

Preliminary sales are higher than our old Q3 estimate, but parent profit implies a weaker profit conversion under the saved H1 bridge. The model adopts the preliminary sales midpoint and a labeled earnings proxy, then assigns 50% weight to persistence of that lower conversion. Existing G5 cost benefits remain included once. Minority ownership and the memory cycle continue to govern shareholder capture.

1. Supercycle, supply chain and durable advantage

Domestic DRAM production, technology migration and larger memory demand from servers and edge devices create a substantial market. CXMT now has stronger current product evidence than a static technology-follower thesis allows. Price cycles, process yields, capital intensity and minority ownership still govern shareholder capture; strategic support does not eliminate these constraints.

DRAM fab capacity×good bits per wafer×utilization×realized bit price → memory sales → product GP → recurring investment costs → attributable shareholder economics. HBM and conventional memory can compete for resources, but there is no universal fixed wafer-diversion multiplier applicable to every product and process.

Business / curve	Stage	Evidence and next inflection
DDR / LPDDR5X	Scaled production	Qualified market participation and strong current earnings.
LPDDR6	Initial commercial ramp	Announced mass production, unknown revenue contribution.
HBM	Undisclosed commercial economics	No separate revenue commitment included; the G5 cost-only branch remains within LPDDR.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27	Server, mobile and PC memory	Quarterly product paths grow from the reported H1 base; normalization is delayed while supply remains tight, without extrapolating peak GM indefinitely.
2028-29	Bits and product coverage grow	DDR and LPDDR can grow volumes even as prices normalize; these effects are separated from margin assumptions.
2030+	Larger global memory wallet	Issuer cites Omdia764B USD global DRAM market2030 [E1]. Using planning7CNY/USD gives5,347B CNY; model2030 revenue is computed below and its implied share is a conditional capture estimate, including no standalone HBM windfall.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

Preliminary January-September 2026 update

The issuer's two-page announcement **2026-014 is dated 17 October 2026**; first public evening reporting appeared on **Friday, 16 October**. It covers **1 January through 30 September 2026**, with unaudited estimates rather than final Q3 financial statements [E8]. Revenue is **CNY 265-270 billion** and profit attributable to parent shareholders is **CNY 131-133 billion** when rounded for reading. The exact upper profit endpoint is retained in the calculation model and source exhibit. These are nine-month totals.

Subtracting the reported H1 figures gives **Q3 revenue of CNY 115-120 billion** and **Q3 parent net profit of CNY 53-55 billion**. The selected midpoint is about **CNY 117 billion sales** and **CNY 54 billion parent net profit**. Quarter-only parent profit margin is about **46%**, compared with **52% in H1**. This derived margin is after tax, nonoperating items and minority deductions; it does not measure product gross margin or operating margin.

Period / metric	Amount, CNY billions	Classification
Nine-month revenue	265-270	Issuer preliminary estimate
Nine-month parent net profit	131-133	Issuer preliminary estimate, rounded endpoints
H1 revenue	150	Reported H1 financial statements
H1 parent net profit	78	Reported H1 financial statements
Q3 revenue	115-120	Preliminary nine-month total less reported H1
Q3 parent net profit	53-55	Preliminary nine-month total less reported H1
Q3 core operating-profit proxy	83	Analyst conversion assumption; undisclosed by issuer
Q3 attributable core operating-profit proxy	60	Analyst conversion and minority-attribution bridge

The company attributes the improvement from last year to stronger AI-related DRAM demand, tighter supply and higher selling prices, capacity construction, process and yield progress, utilization, mix and scale. Those statements do not supply quarterly product sales, bits, realized ASP or a new numerical future-year forecast. Future revenue is therefore retained, with no second scarcity or process-volume increment.

Core operating profit and attribution bridge

H1 revenue of CNY 150 billion less CNY 23 billion cost of sales gives CNY 127 billion gross profit. Operating taxes, selling, administration and R&D reduce this to **CNY 119 billion analyst-defined core operating profit**. The reported operating-profit line is **CNY 117 billion** and also contains finance and other items. H1 consolidated net profit is CNY 108 billion, comprising about CNY 78 billion parent earnings and CNY 30 billion minority earnings [E1].

The selected Q3 proxy retains the **90% H1 consolidated-net-to-core-profit conversion** and the **72% saved parent-attribution proxy**. Derived Q3 parent net profit is divided by both ratios, producing about CNY 83 billion core operating profit and about CNY 60 billion attributable core operating profit. The inferred core margin is **71%**. Opposite endpoints of the preliminary ranges imply roughly **68-73%** under those same conversion assumptions; the range does not measure confidence or all possible accounting outcomes.

The model allocates Q3 revenue to products using the old relative mix, with no claim of issuer product disclosure. Retained product-margin allocations less explicit operating expense would otherwise imply more profit. A separate **CNY 10 billion unallocated earnings reconciliation** brings that allocation to the selected core-profit proxy. It could reflect costs, mix, tax, nonoperating or attribution differences. It is **not a reported COGS or expense line** and must not be relabeled as measured manufacturing-cost deterioration.

Defined forward case and probability

Assign **50% probability** that this Q3 H1-normalized core-margin ceiling persists where the old pre-G5 forecast margin is higher; retain **50% of the prior recovery path**. One official earnings preview supports a less optimistic near-term conversion, while missing tax, minority and nonoperating detail limits confidence in persistence. This probability applies to the defined future state, not the truth of the issuer announcement or all company revenue.

For each future quarter: conditional reconciliation equals the greater of zero and **old pre-G5 core profit minus revenue times the inferred Q3 core margin**. Expected reconciliation is half that amount. Deduct it from old core profit and retain the existing G5 savings and qualification costs once. The conditional charge is zero after Q4 2027 because the inherited 2028 and later normalized margins are already below the new ceiling. This avoids stacking the same normalization or process risk twice.

At Q4 2026, the expected additional reconciliation is about **CNY 5 billion**; at Q4 2027 it is less than **CNY 1 billion**. The active Q4 2027 valuation includes only that late residual before the old normalized path takes over. The next detailed Q3 report must reconcile product GP, costs, tax, nonoperating items and subsidiary minorities before these proxies can be replaced by actual period economics.

Sensitivity to incomplete accounting detail

Persistence probability	Q4 2026 ceiling, CNY	Q4 2027 ceiling, CNY
0%	27	38
25%	26	38
50%	26	38
75%	25	38
100%	25	38

These are persistence scenarios with the selected H1 conversion held fixed. The Q4 2027 targets all round to CNY 38; exact changes are retained in the model. The preliminary accounting detail may also change the conversion itself:

Consolidated net / core conversion	Q3 core OP proxy, CNY B	Q3 core margin proxy
80%	94	80%
90%	83	71%
100%	75	64%

The 80% and 100% conversion rows are diagnostic assumptions, not issuer metrics or statistical confidence bounds. A different tax, nonoperating or minority outcome could remove or enlarge the inferred operating shortfall. The final Q3 statement is the next reconciliation catalyst.

Proposed buyback

The chairman's separate **17 October proposal, announcement 2026-013**, calls for CNY 1-2 billion of buybacks using own or raised funds. Possible uses include employee plans and cancellation. Approval, use split, purchase price and executed share count are unresolved; implementation also requires six months of listing. No completed cancellation, cash benefit or share reduction is modeled [E9].

证券代码：688825　　证券简称：长鑫科技　　公告编号：2026-014

长鑫科技集团股份有限公司

2026 年前三季度业绩预告的自愿性披露公告

本公司董事会及全体董事保证本公告内容不存在任何虚假记载、误导性陈述或者重大遗漏，并对其内容的真实性、准确性和完整性依法承担法律责任。

一、本期业绩预告情况

（一）业绩预告期间

2026 年 1 月 1 日至 2026 年 9 月 30 日。

（二）业绩预告情况

经长鑫科技集团股份有限公司（以下简称“公司”）财务部门初步测算：

1、预计营业收入约为人民币 2,650.00 亿元至 2,700.00 亿元，与上年同期相比，将增加 2,329.16 亿元至 2,379.16 亿元。

2、预计归属于上市公司股东的净利润约为人民币 1,310.00 亿元至 1,325.00 亿元，与上年同期相比，将增加 1,362.80 亿元到 1,377.80 亿元。

本业绩预告采用中国企业会计准则编制测算，尚未经注册会计师审计。

二、上年同期业绩情况和财务状况

公司 2025 年前三季度营业收入为 320.84 亿元，归属于母公司所有者的净利润为-52.80 亿元。

三、本期业绩变化的主要原因

2025 年下半年以来 AI 算力需求快速增长，全球 DRAM 行业景气度提升，产品供不应求，价格大幅上涨。公司稳步推进产能建设、产品研发和工艺技术提升，进一步提高单位晶圆产出和产能利用率，公司规模效应持续显现。同时，公司持续优化运营管理，积极拓展市场，持续深化产业链上下游协同合作，推动业务规模持续扩张。

Original issuer preliminary earnings announcement 2026-014, dated 17 October 2026, page 1 of 2. Source amounts are in CNY 100 millions. The source image retains its original language and precision.

报告期内，公司精准把握行业发展的机遇，依托持续的研发投入与工艺迭代升级，推动产品结构不断优化完善，产能利用率保持高位运行，整体业绩实现显著提升。

四、风险提示

本次业绩预告是公司财务部门基于其专业判断进行的初步核算，未经注册会计师审计。公司尚未发现影响本次业绩预告内容准确性的重大不确定因素。

五、其他说明事项

以上预告数据为初步核算数据，具体准确的财务数据以公司正式披露的2026 年第三季度报告为准，敬请广大投资者注意投资风险。

特此公告。

长鑫科技集团股份有限公司董事会

2026 年 10 月 17 日

Original issuer preliminary earnings announcement 2026-014, dated 17 October 2026, page 2 of 2. Source amounts are in CNY 100 millions. The source image retains its original language and precision.

4. Local evidence and calibration packet

The H1 product and cost bridge reconciles to the reported historical totals. The new Q3 total is preliminary and its product/operating allocation remains an explicit proxy. Customer-specific capex attribution is unavailable because most sales pass through distribution; revenue is not equated to cloud capital spending. IPO proceeds67B are funding, not orders for each equipment holding and not CXMT sales. Qualification and actual spending determine later supply.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	15/20	Scaled domestic DRAM platform and new-product progress.
Inflection / cycle	8/10	Strong actual economics; cycle dependence persists.
Forward TAM	9/10	Large server/edge memory opportunity and LPDDR6 commercial evidence.
Catalysts	4/5	Process qualification, product mix and financed projects.
Macro / policy	7/10	Domestic support with equipment and trade restrictions.
Alpha / evidence	2/5	New ownership/product detail improves analysis; market follows closely.
Risk deductions	-5	Five separate classes.

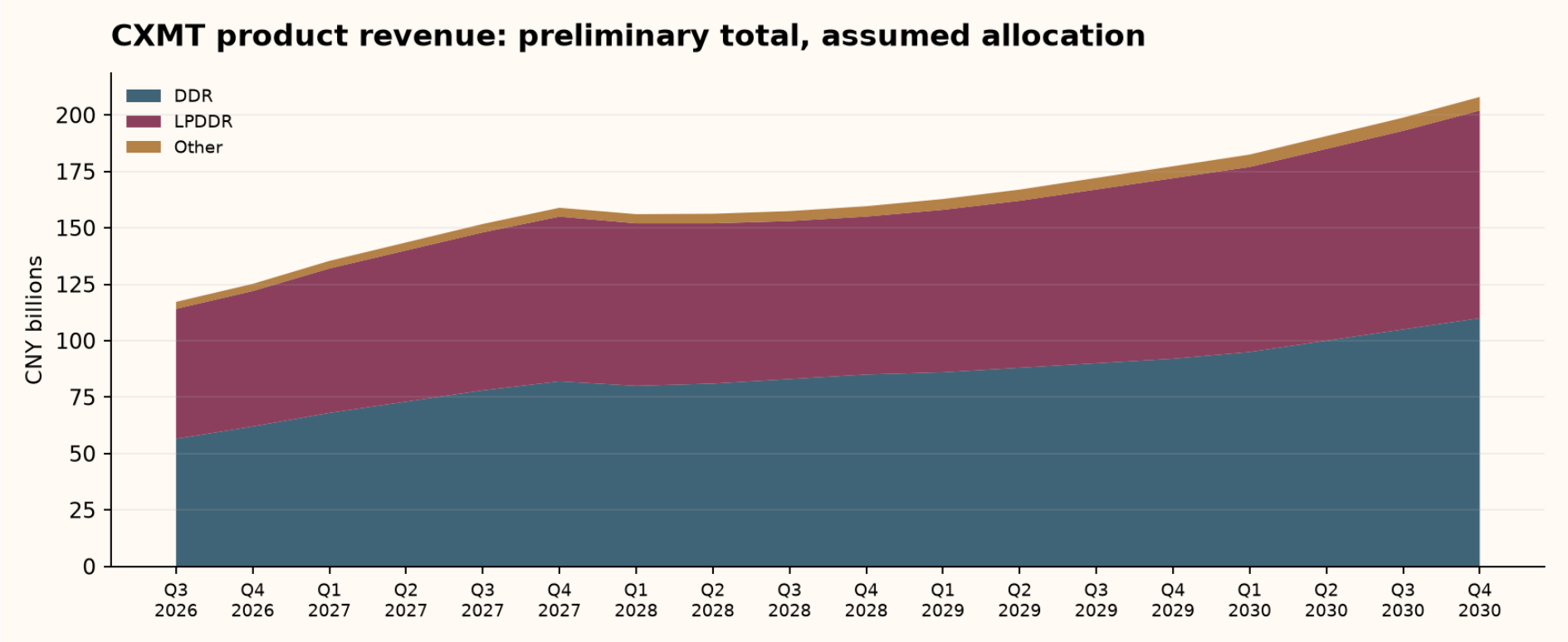
Sum: 40/60 times 100 gives about 67%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Three disclosed product revenue/cost groups anchor the forecast exactly. H1 DDR sales are about CNY 69 billion with CNY 8 billion costs; LPDDR sales are CNY 78 billion with CNY 14 billion costs; other sales are CNY 3 billion with CNY 1 billion costs. Exact product GP reconciles to CNY 127 billion before presentation rounding. Q3 uses the old relative mix scaled to the new preliminary revenue midpoint; those product allocations remain analyst assumptions. Forecasts separate bit volume/mix and pricing conceptually: each revenue factor combines these effects, and each product GM path exposes normalization. No fixed30% cost disadvantage, numeric HBM yield or unavoidable three-generation gap is asserted without current primary support.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
DDR	H1 revenue69B; costs8B	Quarterly demand factors encode bits, share and ASP;2030 sales410B	GM87% initial to50% by2030.
LPDDR	H1 revenue78B; costs14B	LPDDR6 upgrades included within mobile/edge sales;2030 total347B	GM82% initial to45%, reflecting normal-cycle pricing and mix.
Other	H1 revenue3B; costs1B	Small residual growth, no separately invented HBM contract	45% assumed GM.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.



Modeled product revenue. Q3 total equals the preliminary midpoint; product allocation uses the old relative mix. Future revenue is retained. Product figures are not issuer quarterly disclosures.

Quarter	DDR	LPDDR	Other
Q3 2026	57	58	3
Q4 2026	62	60	3
Q1 2027	68	64	3
Q2 2027	73	67	4
Q3 2027	78	70	4
Q4 2027	82	73	4
Q1 2028	80	72	4
Q2 2028	81	71	4
Q3 2028	83	70	4
Q4 2028	85	70	5
Q1 2029	86	72	5
Q2 2029	88	74	5
Q3 2029	90	77	5
Q4 2029	92	80	5
Q1 2030	95	82	5
Q2 2030	100	85	6
Q3 2030	105	88	6
Q4 2030	110	92	6

V1. DDR products

Sources: E1/E2/E3; analyst bits×ASP path. Revenue = anchor times the exact demand/conversion factor; GP = revenue times the exact product margin. Factors below are displayed as whole percentages; calculations use unrounded inputs. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Conversion factor	Revenue	Product margin	GP allocation
Q3 2026	69	81%	57	87%	49
Q4 2026	69	89%	62	87%	54

Quarter	Revenue anchor	Conversion factor	Revenue	Product margin	GP allocation
Q1 2027	69	98%	68	85%	58
Q2 2027	69	105%	73	84%	61
Q3 2027	69	112%	78	82%	64
Q4 2027	69	118%	82	79%	65
Q1 2028	69	115%	80	75%	60
Q2 2028	69	117%	81	70%	57
Q3 2028	69	119%	83	66%	55
Q4 2028	69	122%	85	62%	53
Q1 2029	69	124%	86	59%	51
Q2 2029	69	127%	88	56%	49
Q3 2029	69	130%	90	54%	49
Q4 2029	69	132%	92	52%	48
Q1 2030	69	137%	95	51%	48
Q2 2030	69	144%	100	50%	50
Q3 2030	69	151%	105	50%	52
Q4 2030	69	158%	110	50%	55

V2. LPDDR products including LPDDR6

Sources: E1/E2/E4/E6; analyst mix/adoption plus G5 probability-weighted cost bridge in section12. Revenue = anchor times the exact demand/conversion factor; GP = revenue times the exact product margin. Factors below are displayed as whole percentages; calculations use unrounded inputs. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Conversion factor	Revenue	Product margin	GP allocation
Q3 2026	78	74%	58	82%	47
Q4 2026	78	77%	60	82%	49
Q1 2027	78	82%	64	80%	51

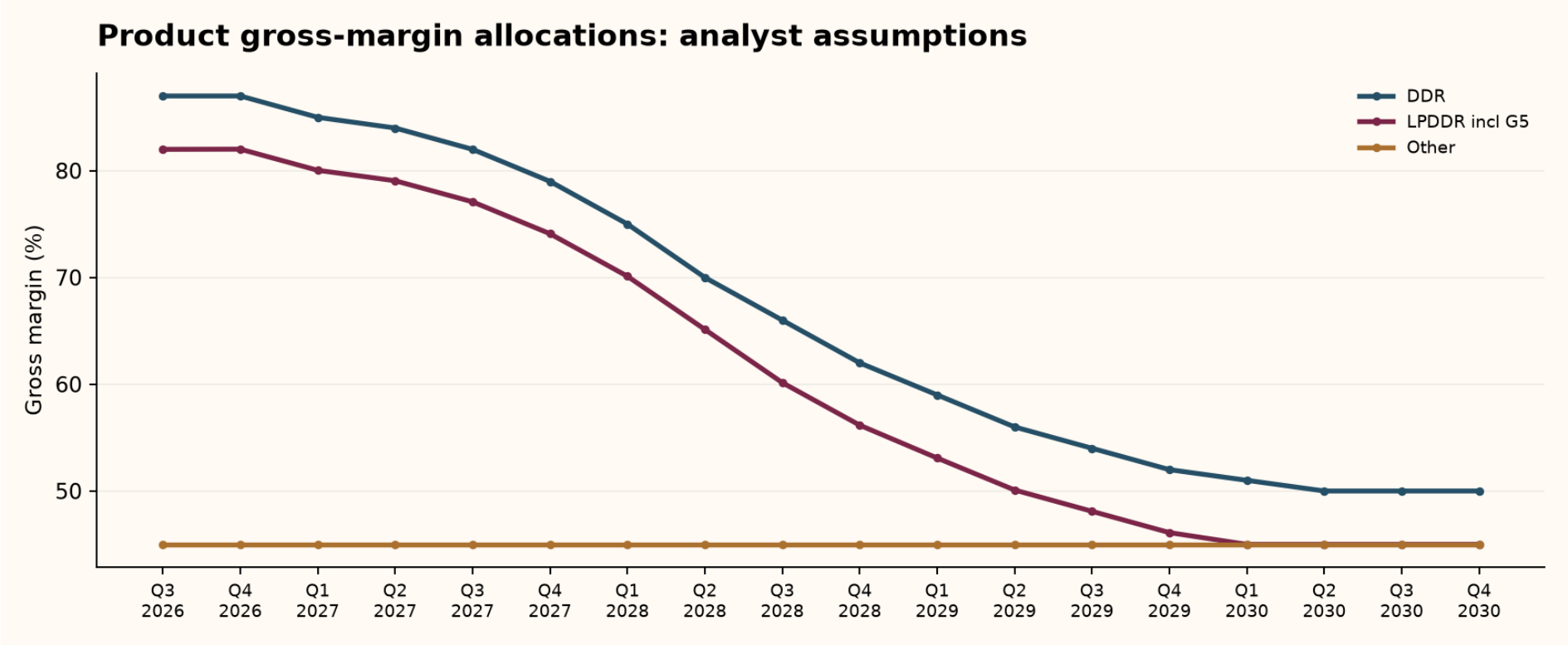
Quarter	Revenue anchor	Conversion factor	Revenue	Product margin	GP allocation
Q2 2027	78	86%	67	79%	53
Q3 2027	78	90%	70	77%	54
Q4 2027	78	93%	73	74%	54
Q1 2028	78	92%	72	70%	50
Q2 2028	78	91%	71	65%	46
Q3 2028	78	90%	70	60%	42
Q4 2028	78	90%	70	56%	39
Q1 2029	78	92%	72	53%	38
Q2 2029	78	95%	74	50%	37
Q3 2029	78	98%	77	48%	37
Q4 2029	78	102%	80	46%	37
Q1 2030	78	105%	82	45%	37
Q2 2030	78	109%	85	45%	38
Q3 2030	78	113%	88	45%	40
Q4 2030	78	118%	92	45%	41

V3. Other products and activities

Sources: E1; analyst residual. Revenue = anchor times the exact demand/conversion factor; GP = revenue times the exact product margin. Factors below are displayed as whole percentages; calculations use unrounded inputs. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Conversion factor	Revenue	Product margin	GP allocation
Q3 2026	3	117%	3	45%	1
Q4 2026	3	120%	3	45%	1
Q1 2027	3	127%	3	45%	2
Q2 2027	3	133%	4	45%	2
Q3 2027	3	140%	4	45%	2

Quarter	Revenue anchor	Conversion factor	Revenue	Product margin	GP allocation
Q4 2027	3	147%	4	45%	2
Q1 2028	3	153%	4	45%	2
Q2 2028	3	160%	4	45%	2
Q3 2028	3	167%	4	45%	2
Q4 2028	3	173%	5	45%	2
Q1 2029	3	180%	5	45%	2
Q2 2029	3	187%	5	45%	2
Q3 2029	3	193%	5	45%	2
Q4 2029	3	200%	5	45%	2
Q1 2030	3	207%	5	45%	2
Q2 2030	3	213%	6	45%	3
Q3 2030	3	220%	6	45%	3
Q4 2030	3	227%	6	45%	3



Product gross-margin allocations retain the prior analytical path and G5 benefit. The separate preliminary earnings reconciliation is not allocated to a product margin; Q3 gross margins are undisclosed.

7. Operating-cost bridge and quarterly operating model

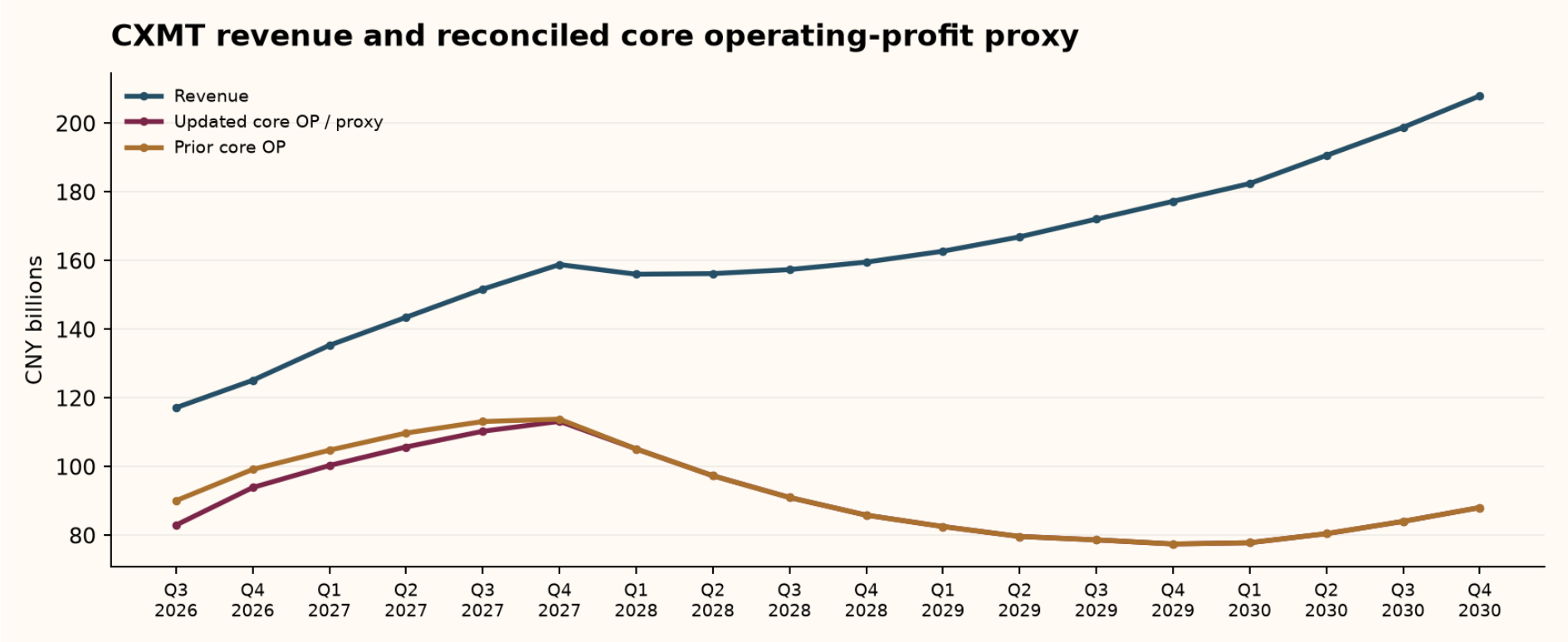
Retained quarterly core operating costs5-11B plus the separately quantified probability-weighted G5 qualification/R&D expense; operating taxes, R&D, selling and administration remain expensed. Reported gross margins already include manufacturing depreciation: no second depreciation deduction is made. No operating subsidy or investment gain is capitalized as recurring product profit.

Profit basis: Analyst-defined core operating profit after recurring R&D, compensation, operating taxes, manufacturing depreciation and the separately labeled preliminary earnings reconciliation. Q3 core profit and future reconciliation are proxies, with the detailed accounting bridge still unavailable. Amounts below are CNY billions; product GP and opex are analyst allocations for forecast and preliminary rows.

Quarter	Status	Revenue	GP allocation	Opex	Unallocated reconciliation	Core OP	Core margin
Q3 2026	Prelim / proxy	117	98	5	10	83	71%

Quarter	Status	Revenue	GP allocation	Opex	Unallocated reconciliation	Core OP	Core margin
Q4 2026	Model	125	105	5	5	94	75%
Q1 2027	Model	135	111	6	4	100	74%
Q2 2027	Model	144	116	6	4	106	74%
Q3 2027	Model	152	120	6	3	110	73%
Q4 2027	Model	159	121	7	<1	113	71%
Q1 2028	Model	156	112	7	0	105	67%
Q2 2028	Model	156	105	7	0	97	62%
Q3 2028	Model	157	99	8	0	91	58%
Q4 2028	Model	160	94	8	0	86	54%
Q1 2029	Model	163	91	9	0	83	51%
Q2 2029	Model	167	89	9	0	80	48%
Q3 2029	Model	172	88	9	0	79	46%
Q4 2029	Model	177	87	10	0	78	44%
Q1 2030	Model	182	88	10	0	78	43%
Q2 2030	Model	191	91	10	0	80	42%
Q3 2030	Model	199	95	11	0	84	42%
Q4 2030	Model	208	99	11	0	88	42%

Core OP = product GP allocation minus explicit opex minus the separately disclosed unallocated earnings reconciliation. Core margin = core OP divided by revenue. All displayed numbers are rounded; totals may differ from the sum of displayed rows. Exact calculations remain in the synchronized model and workbook. Preliminary figures and future guidance never receive final-actual status.



Revenue and core operating profit. Q3 operating profit is a proxy using H1 conversion and saved attribution; forward core profit includes the separate probability-weighted reconciliation. Exact numerical inputs are in the model.

Parent economic operating-profit bridge

H1 parent/consolidated net-income ratio=72%. Use this as the initial attribution proxy, fading to68% as minority-owned capacity may expand. It is not a single legal ownership percentage or a precise subsidiary OP allocation. Parent costs are not separately reallocated because product-level subsidiary operating data are unavailable; zero in that bridge means no separate reallocation, not no parent overhead. The consolidated expense line includes group costs. Changxin Jidian32% ownership with control illustrates why full consolidation is not full economic ownership.

Quarter	Consolidated core OP proxy	Parent-only reallocation	Attribution proxy	Attributable core OP proxy
Q3 2026	83	0	72%	60
Q4 2026	94	0	72%	68
Q1 2027	100	0	72%	72
Q2 2027	106	0	71%	76

Quarter	Consolidated core OP proxy	Parent-only reallocation	Attribution proxy	Attributable core OP proxy
Q3 2027	110	0	71%	79
Q4 2027	113	0	71%	80
Q1 2028	105	0	71%	74
Q2 2028	97	0	70%	69
Q3 2028	91	0	70%	64
Q4 2028	86	0	70%	60
Q1 2029	83	0	70%	58
Q2 2029	80	0	69%	55
Q3 2029	79	0	69%	54
Q4 2029	78	0	69%	53
Q1 2030	78	0	69%	54
Q2 2030	80	0	68%	55
Q3 2030	84	0	68%	57
Q4 2030	88	0	68%	60

Attributable OP proxy = (consolidated OP + parent-only costs) × subsidiary ownership - parent-only costs. The following ceilings use this proxy. The preceding operating table and annual cross-check show consolidated OP.

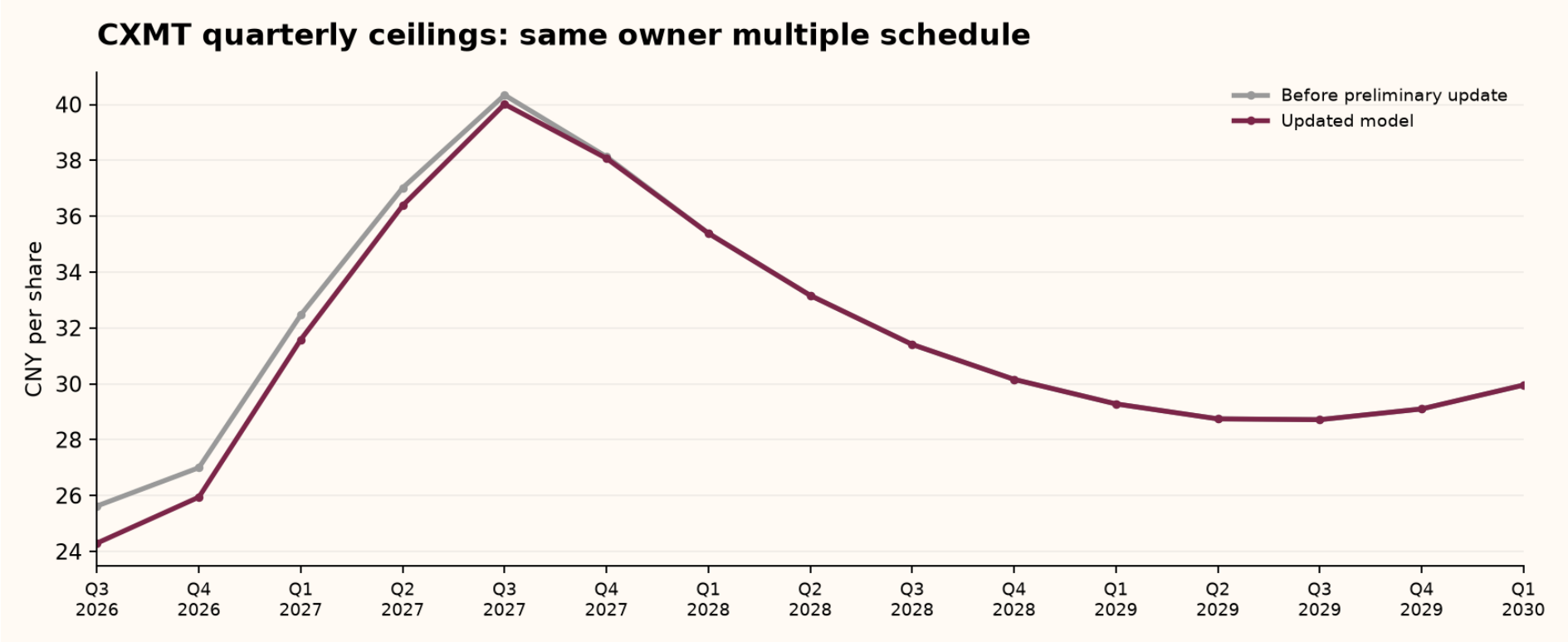
8. Multiple, shares and recognition convention

Apply the 15 October owner schedule: 6x in Q3 and Q4 2026, 7x in Q1 2027, 8x in Q2 2027 and 9x from Q3 2027 onward. The owner extension now applies 6x to Q3 2026 as well, replacing its prior 10x. The historical re-rating is an owner valuation instruction. The current operating earnings base separately reflects the preliminary update described in section 3. No after-tax EPS multiple is substituted.

Use67,884M issued shares after completed overallotment, constant in the base path. Lockup expiry changes tradable supply, not the total denominator; do not count it as a new share issuance.

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to CNY per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation



Current rolling forward-four-quarter attributable core-profit ceilings, using the retained 6x, 7x, 8x and 9x owner schedule. The preliminary update affects the near-term windows most; Q4 2027 changes by less than 1%.

Ceiling quarter	Exact earnings window	F4Q attributable core OP	Multiple	Shares M	Ceiling CNY	Current change
Q3 2026	Q3 2026 through Q2 2027	275	6x	67,884	24	-5%
Q4 2026	Q4 2026 through Q3 2027	294	6x	67,884	26	-4%
Q1 2027	Q1 2027 through Q4 2027	306	7x	67,884	32	-3%
Q2 2027	Q2 2027 through Q1 2028	309	8x	67,884	36	-2%
Q3 2027	Q3 2027 through Q2 2028	302	9x	67,884	40	a decline of less than 1%
Q4 2027	Q4 2027 through Q3 2028	287	9x	67,884	38	a decline of less than 1%

Ceiling quarter	Exact earnings window	F4Q attributable core OP	Multiple	Shares M	Ceiling CNY	Current change
Q1 2028	Q1 2028 through Q4 2028	267	9x	67,884	35	Unchanged
Q2 2028	Q2 2028 through Q1 2029	250	9x	67,884	33	Unchanged
Q3 2028	Q3 2028 through Q2 2029	237	9x	67,884	31	Unchanged
Q4 2028	Q4 2028 through Q3 2029	227	9x	67,884	30	Unchanged
Q1 2029	Q1 2029 through Q4 2029	221	9x	67,884	29	Unchanged
Q2 2029	Q2 2029 through Q1 2030	217	9x	67,884	29	Unchanged
Q3 2029	Q3 2029 through Q2 2030	217	9x	67,884	29	Unchanged
Q4 2029	Q4 2029 through Q3 2030	219	9x	67,884	29	Unchanged
Q1 2030	Q1 2030 through Q4 2030	226	9x	67,884	30	Unchanged

- **Q3 2026:** (60 + 68 + 72 + 76) x 6 x 1000 / 67,884 = **about CNY 24 per share**. Exact earnings window: Q3 2026 through Q2 2027.
- **Q4 2026:** (68 + 72 + 76 + 79) x 6 x 1000 / 67,884 = **about CNY 26 per share**. Exact earnings window: Q4 2026 through Q3 2027.
- **Q1 2027:** (72 + 76 + 79 + 80) x 7 x 1000 / 67,884 = **about CNY 32 per share**. Exact earnings window: Q1 2027 through Q4 2027.
- **Q2 2027:** (76 + 79 + 80 + 74) x 8 x 1000 / 67,884 = **about CNY 36 per share**. Exact earnings window: Q2 2027 through Q1 2028.
- **Q3 2027:** (79 + 80 + 74 + 69) x 9 x 1000 / 67,884 = **about CNY 40 per share**. Exact earnings window: Q3 2027 through Q2 2028.
- **Q4 2027:** (80 + 74 + 69 + 64) x 9 x 1000 / 67,884 = **about CNY 38 per share**. Exact earnings window: Q4 2027 through Q3 2028.
- **Q1 2028:** (74 + 69 + 64 + 60) x 9 x 1000 / 67,884 = **about CNY 35 per share**. Exact earnings window: Q1 2028 through Q4 2028.
- **Q2 2028:** (69 + 64 + 60 + 58) x 9 x 1000 / 67,884 = **about CNY 33 per share**. Exact earnings window: Q2 2028 through Q1 2029.
- **Q3 2028:** (64 + 60 + 58 + 55) x 9 x 1000 / 67,884 = **about CNY 31 per share**. Exact earnings window: Q3 2028 through Q2 2029.
- **Q4 2028:** (60 + 58 + 55 + 54) x 9 x 1000 / 67,884 = **about CNY 30 per share**. Exact earnings window: Q4 2028 through Q3 2029.
- **Q1 2029:** (58 + 55 + 54 + 53) x 9 x 1000 / 67,884 = **about CNY 29 per share**. Exact earnings window: Q1 2029 through Q4 2029.
- **Q2 2029:** (55 + 54 + 53 + 54) x 9 x 1000 / 67,884 = **about CNY 29 per share**. Exact earnings window: Q2 2029 through Q1 2030.
- **Q3 2029:** (54 + 53 + 54 + 55) x 9 x 1000 / 67,884 = **about CNY 29 per share**. Exact earnings window: Q3 2029 through Q2 2030.
- **Q4 2029:** (53 + 54 + 55 + 57) x 9 x 1000 / 67,884 = **about CNY 29 per share**. Exact earnings window: Q4 2029 through Q3 2030.
- **Q1 2030:** (54 + 55 + 57 + 60) x 9 x 1000 / 67,884 = **about CNY 30 per share**. Exact earnings window: Q1 2030 through Q4 2030.

Displayed derivations use whole-number inputs for readability. The synchronized calculation model retains every unrounded term; recomputing rounded display terms can differ from the exact target.

10. Annual trajectory cross-check

Calendar year	Revenue	GP allocation	Opex	Unallocated reconciliation	Core OP	Core margin
2027	589	467	25	12	430	73%
2028	629	410	31	0	379	60%
2029	679	355	36	0	318	47%
2030	780	372	42	0	331	42%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

2030 DDR410B+LPDDR347B+the four modeled Other quarters gives the annual total below. Against5,347B market envelope, this requires roughly15% revenue share. The assumption is substantial and can fail if market size, product access or capture disappoint. Unit-level volume/ASP calibration is limited by disclosure.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q4 2027 shares M	Q4 2027 ceiling CNY	Effect
-5% shares	64,490	40	+5%
+0% shares	67,884	38	+0%
+5% shares	71,278	36	-5%
+10% shares	74,673	35	-9%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

G5 manufacturing economics and active Rule16b contribution

CXMT's September20 primary G5 announcement, also available in Mandarin, reports mass production,12nm active-area half-pitch and at least50% higher gross dies per wafer than G4, normalized to an8Gb density baseline. Its two24Gb LPDDR5X products are in mass production. The reported milestone is a100%-recognized source fact; the modeled future earnings realization probability is separately60%.

Chinese DRAM Giant Making Waves Since IPO

Category	Highlight	Details
Capital & Growth	IPO	Listed on Shanghai's STAR Market in July, **China's largest chip IPO** ($8.5B) to date
	Market Share Surge	ranked **4th** in global DRAM sales in 2Q26, with its share rising to **9.5%** from 7.6% QoQ (TrendForce)
	Aggressive DRAM Expansion	New Shanghai and Hefei fabs to **double capacity to 600K+ wafers/month**; second Beijing fab reportedly under consideration
	Potential NAND Entry	A NAND R&D line reportedly planned at a new plant near Beijing
Product Milestone	LPDDR6 Mass Prod.	In mass production since Sept. debuts in **Xiaomi 18 Fold**
	G5 DRAM Platform Mass Prod.	In mass production (Sept): SAQP patterning, 11.95nm half-pitch, 50%+ more dies/wafer vs. prior generation
	4F² DRAM architecture Unveiled	Denser vertical-transistor design for **servers**: **DDR5 RDIMM due by year-end**, reportedly ~2 years ahead of Samsung

Source: Nikkei, Reuters, Yicai Global and Company Disclosures

NEWS of TrendForce

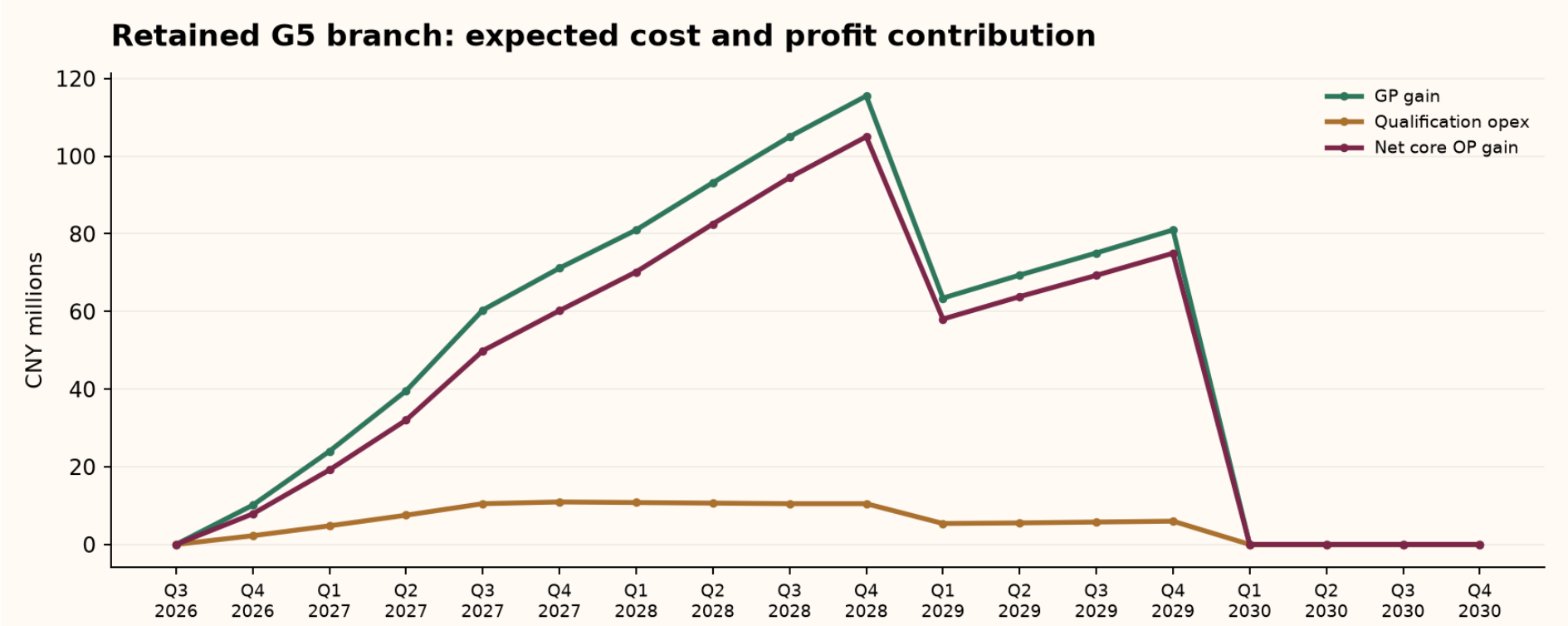
TrendForce original CXMT infographic, posted October12 Asia / October11 Toronto. Separates September G5/LPDDR milestones from the October10 4F² server-memory roadmap. GrossDPW and nominal wafer capacity are not saleable output.

The original September 18 forecast already contains LPDDR6 adoption and broad volume/process migration. The G5 branch changes manufacturing costs in the existing LPDDR vector without a separate sales or bit-volume increment. The new earnings revision separately scales Q3 product allocations to the preliminary total and applies the reconciliation described in section 3. It gives no separate DDR, HBM,600K-wafer/month or4F² sales increment. Applying a50% scope-overlap reduction recognizes process benefits and qualification expenses already present in the reference margins and opex.

The selected conditional assumptions are a 25% eligible LPDDR manufacturing-cost cohort, 60% wafer-cost content, 150% of G4 gross dies per wafer, 80% relative good-unit yield and 110% wafer-processing cost. Cohort, cost and yield values are analyst proxies. Combining these selected inputs implies about CNY 917 cost per good unit for every CNY 1,000 of the old wafer-cost base, or an 8% reduction on that converted wafer-cost component. The exact combined saving is retained in the model; rounded intermediate values do not drive it.

Apply the 60% economic realization probability, remove 50% overlap with existing process assumptions, and phase the remaining benefit by quarter. Conditional qualification/R&D expense equals **5 basis points of LPDDR sales** before probability, overlap and phase. Evaluate avoided costs and added expense in the same outcome. Fixed overhead and depreciation remain included once; qualification costs remain fully expensed.

Phase is 0% in Q3 2026, 25% in Q4 2026, 50% in Q1 2027, 75% in Q2 2027, 100% from Q3 2027 through 2028, 50% in 2029 and 0% in 2030. This is an analytical adoption/fade assumption. The new earnings reconciliation does not duplicate the G5 branch. At the current Q4 2027 9x multiple, removing only the G5 benefit while holding the new preliminary reconciliation fixed changes the ceiling by less than 1%. Both versions round to CNY 38. Analytical Base and Excel Base remain 67.



Retained probability-weighted G5 cost savings, qualification expense and net core operating-profit gain. CNY millions preserve the small amounts with whole-number presentation. No duplicated output or scarcity increment.

Quarter	Phase	LPDDR sales, B	Reference COGS, M	Expected GP gain, M	Extra opex, M	Net core OP gain, M
Q3 2026	0%	58	10,362	0	0	0
Q4 2026	25%	60	10,800	10	2	8
Q1 2027	50%	64	12,800	24	5	19
Q2 2027	75%	67	14,070	40	8	32
Q3 2027	100%	70	16,100	60	10	50
Q4 2027	100%	73	18,980	71	11	60
Q1 2028	100%	72	21,600	81	11	70

Quarter	Phase	LPDDR sales, B	Reference COGS, M	Expected GP gain, M	Extra opex, M	Net core OP gain, M
Q2 2028	100%	71	24,850	93	11	83
Q3 2028	100%	70	28,000	105	10	95
Q4 2028	100%	70	30,800	116	10	105
Q1 2029	50%	72	33,840	63	5	58
Q2 2029	50%	74	37,000	69	6	64
Q3 2029	50%	77	40,040	75	6	69
Q4 2029	50%	80	43,200	81	6	75
Q1 2030	0%	82	45,100	0	0	0
Q2 2030	0%	85	46,750	0	0	0
Q3 2030	0%	88	48,400	0	0	0
Q4 2030	0%	92	50,600	0	0	0

Rule 16b field	Active G5 decision
Signal and source	Issuer September 20 G5 mass production, forwarded in the October 12 TrendForce original image; one economic source event despite reposts.
Probability	60% future economic realization, separate from the reported commercial milestone.
Conditional bounds	Eligible cohort 20-30%, wafer-cost content 50-70%, relative yield 75-90%, processing-cost increase 5-15%; selected inputs above. Gross dies per wafer remain 150% of G4.
Reference and overlap	Complete prior LPDDR margin and process path. Remove 50% overlap from incremental cost and qualification exposure; no added output-density revenue.
Recognition and incremental cost	Shipment-linked manufacturing saving plus fully expensed qualification/R&D. Preserve existing fixed costs and depreciation.
Model controls	G5 controls B108:B116 and quarterly ledger A122:K139; LPDDR margins and GP, explicit opex, attributable F4Q profit and ceilings remain linked.
New preliminary earnings branch	Separate unallocated earnings reconciliation with 50% forward persistence probability. Subtract the complete pre-G5 path before the cap; retain the G5 benefit once.
Raise or reduce	Qualified production and comparable cost/yield evidence can raise weight or cohort. Yield loss, SAQP cost or delay can reduce them. Do not probability-discount all earnings.

4F² server-memory roadmap and competitive counter-evidence

The October10 conference remarks relayed by TrendForce/SCMP describe a year-end2026 server-DDR5 RDIMM launch based partly on4F²/VSG and hybrid bonding. Assign65% to a technical/product introduction and35% to meaningful incremental server penetration byH2 2027. These outcomes are related, not probabilities to multiply. Original full company/conference materials and qualified volume remain unresolved.

At equal feature size,6F² to4F² permits50% higher ideal cell density and one-third lower cell area. That excludes peripheral area, additional bonding wafers, throughput and good-unit yield. The image's10% share is DRAM revenue share, not wafer or bit share;600K wafer/month is nominal capacity. G5's50% grossDPW,4F² cell density and nominal expansion are correlated supply mechanisms and are not multiplied as independent revenue shocks.

The attempted company proxy uses converted server wafer cohort x reference good bits x net density/yield, less displaced current DDR output, then accepted volumes x realizedASP minus wafer/bonding/qualification costs and minority claims. The source does not identify the converted cohort, delivery/acceptance ramp or price/cost relative to the model's existing DDR growth. The current DDR forecast already reaches82B quarterly sales inQ4 2027 from about 57B in Q3 2026 and includes server mix/process migration. After this bounded cohort attempt, the additional4F² revenue and OP increment is zero for unidentified timing/exposure and overlap, not for lack of official confirmation. Track the original remarks, qualified server customer cohort and per-good-unit cost; the source remains reviewed with a precise model-evidence gap.

The same competitive event applies once to Samsung, SK hynix and Micron. It can shorten scarcity duration when qualified output actually displaces their product/customer cohorts; it is not immediate HBM substitution. Their existing supply-response normalization remains relevant. No competitor price elasticity or market-share loss is invented from the architecture announcement.

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
LPDDR6	E4;95% commercialization confidence	No disclosed shipment count	Embedded in LPDDR path	Track customers and attributable revenue
HBM	E2;unquantified	No confirmed commercial units	No separate HBM vector	Attempt bounded accepted-output and cost proxy from credible evidence; current cohort remains unidentified
Apple opportunity	E2;not confirmed	No contract value	No incremental revenue attributed to Apple	Need attributable procurement/cohort evidence; credible forward signals can be modeled before confirmation

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Memory pricing cycle	-1	New supply or weaker AI demand reduces ASP and margin.
Technology and yield	-1	Commercial LPDDR6 does not prove HBM readiness or all-node cost parity.
Equipment and policy	-1	Tools, spares and customer access can be restricted.
Capex and depreciation	-1	Heavy investment may precede cash returns and worsen downturn economics.
Minority ownership and dilution	-1	Consolidated capacity is not fully attributable to listed shareholders.

14. Dated catalysts, counters and escalation

1. **Detailed Q3 2026 results - Preliminary-to-final test.** Replace the provisional core-profit conversion with actual product GP, operating expenses, tax, nonoperating items and subsidiary minorities. The preliminary revenue and parent-profit totals have now been incorporated; they do not resolve those missing lines.
2. **2027 - Supply response** Track bits and realized ASP separately; preserve downside from lower prices.
3. **Each project update - Ownership and technology** Reconcile funded expansion, qualification and economic interest before assigning new profits.

15. Cross-book monitoring

CXMT can add meaningful competitive supply to MU, SK hynix and Samsung; a cost disadvantage would not logically prevent it from expanding or competing on price. Domestic equipment companies benefit only from actual orders. NAND-focused SNDK has a more indirect exposure through shared capex and memory demand.

16. Source register and model limits

E1 - CXMT H1 report (2026-08-29). Financial statements, product costs, subsidiary minorities and Omdia market forecast.

E2 - H1 management results Q&A (2026-09-07). Management answers on pricing, product progress, depreciation, customers and capital expenditure.

E3 - IPO management investor discussion (2026-07-15). Capacity strategy, customer base and cycle risks; IPO event rather than a second quarterly earnings call.

E4 - CXMT announces LPDDR6 mass production (2026-09-07). Commercial debut in Xiaomi18Fold; no shipment volume or product-profit forecast supplied.

E5 - Completed overallotment filing (2026-08-27). Total issued shares increase to67,884,099,077.

E6 - CXMT primary G5 mass-production announcement, September20,2026; Mandarin version. GrossDPW at least50% higher than G4 on an8Gb-normalized baseline;24Gb LPDDR5X, mass production. Original HTML preserved in the source register with a content hash. All incremental cost/yield/cohort assumptions are analytical.

E7 - TrendForce October12,2026 CXMT4F² article. Relays named conference remarks, with partial-implementation/volume-qualification counter-evidence. Original source image embedded in section12. One underlying event with SCMP.

E8 - CXMT preliminary January-September 2026 earnings, announcement 2026-014, document dated 17 October 2026. Original two-page PDF read and embedded above. Friday 16 October evening coverage establishes the initial reporting date; the issuer document date stays unchanged. Unaudited estimates cover nine months. Quarter-only totals are derived by subtraction; core operating profit and forward conversion are analyst assumptions. SHA-256: 2b926ba89c1e62f2e86da4b057a4fbb6ac956a9a0c6248a97d08ab4129ff23a9.

E9 - Chairman's share-buyback proposal, announcement 2026-013, document dated 17 October 2026. Original three-page issuer attachment retained with its hash in the run source manifest. Proposal only; no approved executed cancellation or reduced share denominator.

Quarter-only product GP, operating profit, tax, nonoperating and minority bridges remain undisclosed in the preliminary announcement. Quarterly bits, realized ASP by product, subsidiary-level operating profit and numerical future guidance are unavailable. Outer-year margin normalization is an analyst path, not a dated prediction. The large2030 DRAM forecast cited in the issuer report includes segments CXMT may not address; it is a market envelope, not a revenue entitlement.

Workbook: v3_2_master_portfolio.xlsx, model tab 688825_SH_Q_Model. The production master v3_2_master_portfolio.xlsx owns the linked quarterly model and portfolio ranking. The original source workbook is historical.

Current artifact path: G:\My Drive\1amInvesting\Artifacts\CXMT_688825SH_DeepDive_Q1_2026.md.

Original snapshot: versions/originals/CXMT_688825SH_DeepDive_Q1_2026.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.